MOST IMPORTANT TERMS AND CONDITIONS
(FOR BUILDER FINANCE/HOME LOANS/LOAN AGAINST PROPERTY)

Dear Sir/ Madam,

We thank you for availing a Loan from **Hero Housing Finance Limited** (hereinafter referred to as **"HHFL"/"The Company"**), a Housing Finance Company registered under National Housing Bank **Act, 1987** and having its registered office at 09, Community Centre, Basant Lok, Vasant Vihar, New Delhi - 110057. In our endeavour to be transparent with our borrowers, we communicate the major terms and conditions agreed between the Company and the borrowers. Accordingly, we request you to please note the following major terms and conditions agreed by you and other borrowers (hereinafter collectively referred as 'the **Borrower**' or '**you**') with Company for the captioned loan availed by you:

1. Loan Amount (Sanctioned Amount)	₹ (Rupees)
2. Interest	
i) Type of Rate of Interest (Appropriate one to be ticked depending on applicability)	Floating
ii) Applicable Rate of Interest	**On Floating Rate basis:** % per annum (Hero Reference Rate)
iii) Component of Principal and Interest (These figures provide only an approximate idea and are liable to change depending upon the exact date of disbursement and repayment.)	**Principal Amount:** ₹ **Interest:** ₹
iv) Moratorium or Subsidy	NA
v) Date of Reset of Interest	As per the Company's internal policy on Rate of Interest.
vi) Modes of Communications of changes in InterestRate	Any change in the Rate of Interest will be communicated through Letter/SMS/ E-mail to the borrower(s) or Information at branch or Notification on the Company's website.
3. Installments Types	Monthly
4. Loan Tenure	months.
5. Purpose of Loan	

6. Fee and Other Charges *The fee and charges do not include GST, any cess& other taxes, levies etc. prescribed by the Government of India or the respective state. The fee and charges may changed by HHFL at its sole discretion of HHFL and any change in the same would be published on the Company's website under Schedule of Charges. The Borrower(s) are requested to refer to the Schedule of Charges published on the Company's website for latest applicable charges and more details.*

i) At the time of Application and Documentation	
a) Initial Processing Fees (Non-refundable) for Home Loan/Non-Housing Loan	Upto ₹ 5000 + Applicable Taxes
b) Processing Fees (Inclusive of Initial Processing Fees) for Home Loan/Non-Housing Loan	Cheque Salaried: Upto 1% + Applicable Taxes Others: Upto 3% + Applicable Taxes
c) Charges to be paid to CERSAI	₹ 100+ Applicable Taxes
d) Stamp Duty and Registration Charges	As per the State laws (state of origination of the loan)

e) Home Loan Plus Programme Fees:

LTV	Loan Amount	
	₹ 50 - 75 Lakhs	> ₹ 75 Lakhs
Upto 65%	1.15%	1.45%
65-70%	1.35%	1.70%
70-75%	1.40%	1.70%
75-80%	1.65%	NA
80-85%	1.70%	NA
>85%	1.80%	NA

* Out of the PF, non-refundable initial amount of Rs 2500 to 5000 + Applicable Taxes to be paid along with application. Balance to be paid after sanction.

ii) Charges during the term of loan

a)	Disbursement Cheque Cancellation	₹ 500 /- +Applicable Taxes
b)	Cheque dishonour charges/rejection of ECS/NACH Mandate (per instrument)/Non-payment of EMI through NACH	₹ 1000 /- per instrument +Applicable Taxes
c)	Cheque / Cash Collection Charges	₹ 500 /- +Applicable Taxes
d)	Income Tax Certificate for current year	Nil
e)	Statement of account (Nil for Soft Copy)	₹ 500 /- +Applicable Taxes
f)	List of Documents	Nil for first time. Post that ₹ 500+ Applicable Taxes
g)	Document Copy Retrieval	Upto ₹ 3000 /- for documents copies in HHFL custody +Applicable Taxes
h)	Original Document Retrieval for specific activity like production at SRO or Development Authority or Endorsement (Not applicable for endorsement of Share Certificate in Maharashtra)	Upto ₹ 5000/- +Applicable Taxes
i)	Switch to Lower Rate	0.5% or ₹ 2500/- plus Applicable taxes, whichever is lower
j)	Change in Repayment Mode	₹ 500 /- + Applicable taxes in case of ACH/PDC to PDC Nil in case of ACH to ACH or PDC to ACH
k)	Penal Interest	**2% per month on overdue payment (i.e.24% Per annum) + Applicable Taxes**
l)	Legal & Incidental expenses	As per actual + Applicable Taxes

iii) On Foreclosure/ Pre-Payment/ Part-Payment*

a)	Housing/ Non-Housing Loan on floating rate disbursed to an Individual provided any non-individual entity is not part of loan structure as borrower or co-borrower	Nil
b)	Housing Loan on fixed rate closed by an individual through own sources and end use is not business (the term "own source" shall mean any source other than by borrowing availed off by the Borrower from a Bank, Housing Finance Company, Non-Banking Financial Company and/or a financial institution)	2% +Applicable Taxes
c)	Housing Loan on fixed rate closed through Balance Transfer or money received from sources other than 'own sources'	2% + Applicable Taxes
d)	Housing Loan on floating rate / Fixed Rate where a non-individual entity is part of loan structure as borrower or co-borrower	Floating Rate**:** Nil* *Applicable:(if main applicant is a non-individual excluding proprietorship form and end use is not business) Fixed Rate**:** -Tenor served 1 month -12Months: 3%+Applicable Taxes -Tenor served > 12 months: 2%+Applicable Taxes

e)	Non-Housing Loan on fixed rate disbursed to an Individual provided any non-individual entity is not part of loan structure as borrower or co-borrower	Tenor served 1 month -36 Months: 3% + Applicable Taxes Tenor served > 36 months: 2% + Applicable Taxes
f)	Non-Housing Loan on floating / fixed rate where a non-individual entity is part of loan structure as borrower or co-borrower	Floating Rate: Nil* *Applicable:(Main applicant is a non-individual excluding proprietorship form or if end use is business purpose) Fixed Rate: -Tenor served 1 month - 12 Months : 3%+Applicable Taxes -Tenor served > 12 months: 2%+Applicable Taxes
g)	Documents handling charges post closure of loan	₹ 3000 /- per day, beyond 30 days from date of closure + Applicable Taxes

* For Mixed Rate, Prepayment charges would be applicable as per fixed rate of interest in accordance to the schedule of charges , if the loan is closed within the fixed tenure. There after prepayment to be charged as per the floating rate of interest charges.

iv) On Part-Payment of Loan:

i)	Housing/ Non-Housing Loan on floating rate disbursed to an Individual provided any non-individual entity is not part of loan structure as borrower or co-borrower	Nil
j)	Housing/ Non-Housing Loan on fixed rate disbursed to an Individual provided any non-individual entity is not part of loan structure as borrower or co-borrower	Part payments made within 6 months : Prepayment charges applicable as mentioned above plus Applicable Taxes. After 6 Months: No charges for payments made upto 25% of POS within one financial year. Beyond that prepayment charges are applicable plus Applicable Taxes.
k)	Housing loan / Non-Housing loan on floating rate / Fixed Rate where a non-individual entity is part of loan structure as borrower or co-borrower	Part payments made within 6 months : Prepayment charges applicable as mentioned above. After 6 Months: No charges for payments made upto 25% of POS within one financial year. Beyond that prepayment charges plus Applicable Taxes.
v)	**Refund of Processing Fee if loan not sanctioned/ disbursed**	Non-Refundable
vi)	**Conversion Charges for switching from floating to fixed interest and vice-versa; Re- Pricing / Conversion Charges (If Offered)**	0.50% of the principal Amount of Outstanding plus Applicable Taxes.

7. Security / Collateral for the loan

i) Mortgage

Secured by Equitable / Registered mortgage/extension of mortgage of the following property:

ii) Guarantor

iii) Other Security

8. Utilisation of the Loan

The amount of the Loan shall be utilized strictly for the purpose detailed in the Borrowers application form and in the manner prescribed. The construction of the house/flat or the modification/extension proposed by the borrower in the existing house/flat should be strictly according to the plan approved by the Local Authorities/Town Planning and Development authorities. Any modification desired in the plan as originally approved, can be undertaken only after express sanction for it has been obtained from the appropriate authority.

9. Insurance of Property/ Borrowers

It will be the Borrowers responsibility to ensure that the property offered as security is duly and properly insured against fire and other hazards for an amount specified by HHFL, during the period of this Loan, with HHFL as sole beneficiary. The evidence there of shall be given to HHFL every year and/or whenever asked for by HHFL. Regardless of the amount being specified by HHFL for the said purpose, the Borrower shall remain absolutely obligated to insure the property for an adequate amount.

The terms & conditions including claims & coverage will be governed by the issuer of such insurance policy. Please note that the role of HHFL under the insurance policy would be that of a facilitator and the decision to cover and settle any future claim under the policy would solely rest with the insurance company. Insurance is the subject matter of solicitation and the Borrower(s) may choose insurance company at their own discretion.

10. Major Conditions for Disbursement of the Loan

a) Submission of all relevant documents as mentioned by HHFL in the sanction letter/ Loan Agreement;

b) Clear, marketable title of the property in favour of the Borrower;

c) All the security documents prescribed have been executed by borrower/co-applicant (s)/guarantor/s

d) A valid mortgage (equitable or registered if equitable mortgage is not possible) has been created in favour of the HHFL as per the laws of the State.

e) Wherever creation of mortgage is likely to be delayed for any valid reason, suitable security including third party guarantee, has been taken for the interim period.

f) The loan will be disbursed in stages where a loan for construction is desired or purchase is through payment to seller in instalments.

g) Submission of all relevant documents as mentioned by HHFL in the Sanction Letter,, the Loan Agreement and other transaction documents (collectively referred to as the **"Loan Documents"**) executed by you with reference to your Loan with HHFL.

h) Clear Legal & Technical report on assessment of the property;

i) Payment of own contribution by the Borrower (total cost of flat less the loan amount), as specified in the Sanction Letter ;

j) Providing adequate utilization proof of the Loan;

k) Undertaking by the Borrower to regularly provide HHFL information,including details regarding progress / delay in construction, any major damage to the property, change in employment/ contact details, non-payment of taxes pertaining to property, etc ;

l) The construction is being undertaken as per the approved plans;

m) The Borrower has satisfied himself/herself that required approvals for the project have been obtained by the developer.

n) All required approvals for the property have been obtained and are available with the seller in case the property is being purchased in resale

11. Repayment of the Loan & Interest

The Loan will be repayable through the Equated Monthly Instalments ("EMIs") on the monthly due date mentioned in the Loan Documents. The EMIs shall be calculated on the amount actually disbursed. The amount and no. of EMI shall be subject to the applicable rate of interest.

Consequent upon any change/revision in applicable rate of interest, HHFL shall have the right and sole discretion to revise the EMIs or to revise repayment period or both and accordingly fresh set of Post Dated Cheques ("PDCs")/ ECS mandate/ Payment Instrument shall be required to be given by you, suo moto, for revised EMIs.

Pre-EMI Interest ("PEMII") would be required to be paid, on monthly basis on the due date mentioned in the Disbursement Letter. It shall be charged from the date of the first disbursements to the date of commencement of EMI in respect of the Loan.

In case of delayed payment, overdue interest for the delayed period will be charged at rates as determined by HHFL from time to time.

Without limiting to the generality of the aforesaid, the Borrower shall provide such number of PDC's as mandated by HHFL from time to time for the amounts specified by HHFL towards repayment of the Loan.

Amount of EMI: ₹

Total number monthly instalments:

Procedure for advance intimation of the changes in the rate of interest/ EMI- Any change in the Rate of Interest will be communicated through Letter/ SMS/ E-mail to the Borrower(s) or Information at branch or Notification on the Company's website.

12. Brief Indicative Process on Recovery of dues / overdue amounts:

On occurrence of any event of default as mentioned in the Loan Agreement (Event of Default), all outstanding amounts owned bythe Borrower to HHFL shall become payable forthwith and HHFL reserves the right to undertake such necessary processes/measures to enforce its rights under the Loan Documents including but not limited to charging Overdue Charges for the delayed payment, recovery of over dues by enforcing the Security in accordance with the remedy available under the Law. The actual procedure shall be determined by HHFL depending upon factual position relating the respective case.

13. Inspection:

HHFL will have the right to inspect, at all reasonable times, the borrowers property by an officer of the HHFL or a qualified auditor or a technical expert as decided by the HHFL and the cost there of shall be borne by the Borrower.The Regulatory/ Supervisory Authority will also have right to carry such inspection.

14. Default:

In the event of default i.e. if the amount due is not paid by due date, the customer will be sent reminders from time to time for payment of any outstanding on his loan account, by post, fax, telephone, email, SMS messaging and/or through third parties appointed for collection purpose to remind, follow-up and collect dues.Any third party so appointed, shall adhere to the code of conduct of the Company on debt collection.

Classification of Borrower's Dues in case of the same remaining overdue shall be as follows:

- SMA-0- Upto 30 days.
- SMA-1- More than 30 days and upto 60 days.
- SMA-2- More than 60 days and upto 90 days.

Example: If due date of a loan account is March 31, 2021, and full dues are not received before HHFL runs the day-end process for this date, the date of overdue shall be March 31, 2021. If it continues to remain overdue, then this account shall get tagged as SMA-1 upon running day-end process on April 30, 2021 i.e. upon completion of 30 days of being continuously overdue. Accordingly, the date of SMA-1 classification for that account shall be April 30, 2021. Similarly, if the account continues to remain overdue, it shall get tagged as SMA-2 upon running day-end process on May 30, 2021 and if continues to remain overdue further, it shall get classified as NPA upon running day-end process on June 29, 2021.

If any Borrower's Dues remain overdue (wholly or partly), Borrower loan account shall reflect the asset classification (SMA/NPA) status of an account at the day-end of that calendar date. Loan accounts classified as 'NPAs' shall be upgraded as 'Standard' asset only if entire arrears of Borrower's Dues are paid by the Borrower.

If repayment is not made by the due date, due process for invocation of security shall be undertaken.

15. Disclosure:

HHFL is authorized to disclose from time to time any information relating to the loan to any Credit Information Company ("CIC") authorised by the Reserve Bank of India without any notice to the Borrower. Further, HHFL is also authorized to make inquiries with any CIC the Credit Information Bureau of India (CIBIL) and get the applicants Credit Information Report.

16. Date on which annual outstanding balance-statement will be issued- On request

17. Customer Services

Branch Visiting hours	10:00 AM to 6:00 PM (Monday to Friday). HHFL's offices remain closed on Saturday, Sunday and Public Holidays.
Customer Care Contact details	Email : customer.care@herohfl.com Phone No : 1800-212-8800
Loan Account Statement Time Line	2 working days
Title documents Photocopy Time Line	10 working days
Return of original documents Time Line onclosure/ transfer of the Loan	15 working days (post loan closure)

Turn Around Time (TAT) will start after completion of all the documents and submission of fee (if any). TAT does not include Saturday, Sunday and Holidays.
The Borrower can obtain these services from HHFL's office by providing Loan Account Number and Identity Proof. Alternatively, the Borrower can "Write to us", under "Customer Care" section of its website,i.e., www.herohousingfinance.com.

Note: The turnaround time for each of the service request is subject to change at the company's discretion.

18. Grievance Redressal Mechanism (please refer to the Grievance Redressal Mechanism separately published on the Company's website for the latest updated information)

Any customer having a grievance/ complaint/ feedback with respect to the product and services offered by **Hero Housing Finance Limited** (hereinafter referred to as 'the Company') raise complaint in writing, orally, electronically or over telephone:

How a complaint should be made:

In order to resolve queries and complaints/ grievances, the Company laid down the following Grievance Redressal Mechanism.

Level 1:

Modes of Raising Complaint: A customer may raise complaint in writing, orally, electronically or over telephone:

Complaint in Person	A complaint book is available at the branches. A customer can obtain it from the branch and record his /her grievances therein.
Call us	Complaints can also be logged at Call Centre on toll free number 1800-212-8800
Email	customer.care@herohfl.com
Website	www.herohousingfinance.com
Write to us	Grievance Redressal Cell, Hero Housing Finance Ltd, 7, Community Centre, Basant Lok, Vasant Vihar, New Delhi-110057

The customer is requested to necessarily provide Loan Account Number, Reference no. provided by the Company, details of Feedback/ Suggestion/ Complaint and valid phone no. & e-mail ID while communicating with the Company.

If a complaint is received from customer in writing, the Company shall send an acknowledgement/ response within a week. If more time is required, the Company will inform the customer expected timeline.

If the complaint is relayed over phone at the Company's designated telephone helpdesk or customer service number, the Company shall provide to the customer a complaint reference number and keep him/her informed of the progress within a week's time. If more time is required, the Company will inform the customer expected timeline.

After examining the matter, the Company will send final response or explain why the company needs more time to respond and shall endeavor to do so within 6 weeks of receipt of complaint and shall inform the customer mechanism to take the complaint further if he/ she is still not satisfied

Level 2:

If the resolution of complaint provided at level 1 does not meet expectation or response is not received within the defined timescales; the customer can escalate complaint to customercarehead@herohfl.com.

At this level, a complaint is expected to be responded within 7 working days of receipt of complaint.

Level 3:

If the resolution of complaint provided at level 2 does not meet expectation or response is not received within the defined timescales, such complaints may be escalated to the Grievance Redressal Officer of the Company whose details are as given below:

Gautam Munjal

Hero Housing Finance Ltd.

7, Community Centre, Basant Lok,

Vasant Vihar, New Delhi-110057

Email:

Phone: 011-40819810

At this level, a complaint is expected to be responded within 7 working days of receipt of complaint.

Level 4

In case, a complaint is not redressed or the customer is dissatisfied with the response received, the customer may approach the Complaint Redressal Cell of National Housing Bank by lodging its complaint in online mode at the link https://grids.nhbonline.org.in, OR in offline mode by post, in the prescribed format available at link http://nhb.org.in/citizencharter/NHB%20Grievance%20Redressal%20Policy.pdf at the following address:

The Complaint Redressal Cell,

Department of Regulation and Supervision,
National Housing Bank,

4th Floor, Core-5A, India Habitat Centre,

Lodhi Road,

The above Grievance Redressal Mechanism will be displayed clearly in all of the Company's offices/ branches and on the website.

19. The sanction and/or disbursal of the loan shall be at the sole discretion of **Hero Housing Finance Limited.**

20. **Hero Housing Finance Limited** shall be entitled to amend or modify the term and conditions of the loan, in accordance with the loan agreement and all such amendment or modification shall be deemed to be effective and binding on you.

The Most Important Terms and Conditions **("MITC")** for the loan availed by the Borrower from Hero Housing Finance Limited are to be read and understood in conjunction with the terms contained in the Sanction Letter, the Loan Agreement and other transaction documents which shall be executed with reference to your Loan with HHFL (collectively referred to as the **"Loan Documents"**).

The MITCs mentioned above are only important terms and conditions and are not exhaustive. The Loan shall be governed by the Loan Documents. In the event of any gap/ difference between the terms and conditions set out herein and the Loan Documents, the terms and conditions mentioned in the Loan Documents shall prevail.

मैं पुष्टि करता हूं कि मैंने उपरोक्त सबसे महत्वपूर्ण नियम और शर्तें समझ ली हैं और मैं उन्हें स्वीकार करता हूं।

For **Hero Housing Finance Limited** Authorised Signatory -	**Signature(s) or thumb impression of the Borrower(s)**

Date : _____

Place :